

Emmvee Photovoltaic Power Ltd

NSE: EMMVEE | BSE: 544608 | Sector: Capital Goods — Solar Manufacturing | Bengaluru, Karnataka

Integrated solar PV module & cell manufacturer; India's 2nd pure-play TOPCon-integrated player

RATING

BUY

12-Month Price Target

Rs. 350

Upside: +33% from CMP Rs. 264

Entry Zone: Rs. 240 - 270

Horizon: 18-24 months

Metric	FY26A	FY27E
CMP (Rs.)	264	—
Mkt Cap (Rs. Cr)	18,299	—
52-W H/L (Rs.)	300 / 172	—
EPS (Rs.)	15.62	27.25 (E)
P/E (x)	16.9	9.7 (E)
EV/EBITDA (x)	10.5	6.3 (E)
P/B (x)	4.9	—
ROCE (%)	44.8	~40 (E)
ROE (%)	51.1	~45 (E)
Book Value (Rs.)	53.4	—
Div Yield (%)	0.00	—
Face Value (Rs.)	2.00	—

Shareholding (Mar 2026)	%
Promoter	80.03
FII	2.45
DII	12.28
Public	5.24
Promoter Pledge	Nil

Company: Emmvee Photovoltaic Power Ltd (Incorporated Mar 2007) is India's 2nd pure-play integrated solar PV module and cell manufacturer. Headquartered in Bengaluru, it produces TOPCon solar cells (2.94 GW) and modules (10.3 GW) as of Mar 2026. Listed on NSE/BSE in November 2025. Promoter: DV Manjunatha Donthi (CMD). IPO raised Rs. 2,900 Cr; proceeds primarily used to prepay debt, taking net D/E to (0.06)x. Order book: 9.4 GW as of FY26-end.

Report Date: 24-May-2026 | Analyst: Chartitude Research | Data Source: Screener.in (consolidated)

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2. INVESTMENT THESIS

- **Capacity-driven earnings CAGR of ~50%+ over FY26-28E:** Emmvee is mid-cycle on a 6 GW expansion (module line by CY26-end, cell line by FY27-end) that will take total capacity to 16.3 GW modules + 8.9 GW cells. Revenue visibility is anchored by a 9.4 GW order book, providing ~2 years of forward revenue cover at current run rates. We estimate PAT to grow from Rs. 1,082 Cr (FY26) to Rs. 1,888 Cr (FY27E) to Rs. 2,730 Cr (FY28E), implying FY27E P/E of only 9.7x — deeply discounted to listed solar peers.
- **Regulatory moat: ALMM List-2 is an asymmetric tailwind:** From June 2026, all government-linked solar projects must source certified domestic solar cells (ALMM List-2). With only a handful of Indian players having domestically-manufactured cell capacity, Emmvee's 2.94 GW of in-house cells gives it structural pricing power and preferential order access. Anti-dumping duties (23-30%) on Chinese cells/modules (Sep 2025) reinforce this moat by raising the effective cost of competing imports.
- **TOPCon technology leadership + balance sheet strength post-IPO:** Emmvee was among the first Indian manufacturers to fully transition to higher-efficiency TOPCon solar cells — a meaningful technology differentiation versus legacy BSF-based manufacturers. The November 2025 IPO raised Rs. 2,144 Cr (fresh issue), which was used to prepay debt, resulting in a near-zero-debt balance sheet (net D/E of -0.06x as of Mar 2026). This positions the company to fund the next phase of capex (Rs. 600-700 Cr/GW for ingot-wafer from FY29) without equity dilution.
- **Near-term catalyst (6-12 months):** Commissioning of the new 5 GW module line at Devanahalli by end-CY2026 — this event alone should drive ~70% production capacity expansion and will be the key earnings inflection trigger for FY27. Any positive ALMM List-2 implementation announcement from MNRE is an additional catalyst.
- **Biggest structural risk:** Module overcapacity and margin compression — India's module manufacturing capacity exceeded 120 GW by mid-2025, vastly exceeding domestic demand of 40-50 GW/year. A sustained drop in module ASPs could compress EBITDA margins below the 30% level, particularly if the BCD and anti-dumping framework is diluted.

3. BUSINESS OVERVIEW

- **Integrated solar PV manufacturer:** Emmvee Photovoltaic Power Ltd (est. 2007, Bengaluru) manufactures TOPCon solar cells and modules for IPP, C&I, rooftop (PM Surya Ghar), and KUSUM customers. It operates exclusively under the "Emmvee" brand and is India's 2nd-largest pure-play integrated cell-and-module manufacturer by capacity.
- **Revenue mix:** Module sales constitute the dominant revenue stream (~85% of revenues); cell sales account for the balance (~15%). Geographically, the bulk of revenues are domestic, given India's DCR (Domestic Content Requirement) framework. Management has indicated virtually 100% of module sales are expected to become DCR-linked in FY27 as sourcing norms tighten.
- **Manufacturing capacity (as of Mar 2026):** Solar modules: 10.3 GW (100% TOPCon, 6 lines); Solar cells: 2.94 GW (TOPCon, Dobbaspet, Bengaluru — one of India's largest single-location TOPCon cell facilities). FY26 production: 2,999 MW modules and 1,520 MW cells.
- **Order book and revenue visibility:** Order book of 9.4 GW as of end-FY26 vs. 4.9 GW in FY25, representing 91% YoY growth. Average order size per top-10 customer increased to 221 MW from 121 MW in FY25 — signalling improving customer scale and stickiness. Q4 FY26 inflow: 1.27 GW. About 6.3 GW of existing order book is scheduled for delivery in the next 12-18 months, providing strong near-term revenue visibility.
- **4.5 GW TOPCon cell supply agreement:** Emmvee secured a landmark 4.5 GW supply agreement for TOPCon crystalline silicon cells with a domestic customer (execution Dec 2025 through 2030), which underpins long-term cell utilisation and revenue stability beyond the module business.
- **Promoter background:** DV Manjunatha Donthi is Chairman and Managing Director. The promoter group holds 80.03% post-IPO with no pledging, reflecting high alignment with minority shareholders. The company's history in solar PV dates to 2007, predating most Indian peers, giving it deep manufacturing process knowledge and customer relationships.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **India solar capacity and target:** India had 105.6 GW of installed solar capacity as of FY25 and aims to reach 500 GW of non-fossil capacity by 2030. Annual additions are trending at 40-50 GW/year. India's module manufacturing capacity exceeded 120 GW by mid-2025 — creating a structural overcapacity at the module level — but domestic cell capacity (only ~25 GW) remains a critical bottleneck. Integrated players with cell capacity (Waaree, Premier, Emmvee) are structurally advantaged.

- **Key policy tailwinds for Emmvee:** (1) ALMM List-2 for solar cells (June 2026): mandatory domestic sourcing of cells for government projects — directly advantages Emmvee's 2.94 GW cell capacity; (2) Anti-dumping duty on Chinese cells/modules: 23-30% for 3 years from Sep 2025; (3) PLI Scheme for High-Efficiency Solar Modules: Rs. 24,000 Cr allocated, enabling 18.5 GW of certified capacity; (4) PM Surya Ghar rooftop scheme and PM-KUSUM create large non-utility demand.

- **Key headwinds:** (1) US tariff (up to 50%) on Indian solar module imports — constrains export diversification; (2) BCD reduction from 40% to 20% on modules (Feb 2025 budget) raises import competition risk; (3) Module overcapacity in India could trigger price competition and margin compression; (4) Polysilicon and cell raw material supply dependence on China creates geopolitical risk.

- **Competitive moat assessment:** Pricing power — **Moderate** (DCR + ALMM protect near-term pricing, but long-term module pricing faces structural downward pressure); TOPCon Technology — **Strong** (first mover in India, differentiated cell efficiency 26%+ vs legacy BSF 21%); Scale — **Strong** (10.3 GW module capacity is among the top-3 in India); Integration — **Strong** (rare dual-revenue stream from cells + modules; moving to ingot/wafer by FY29 will deepen this).

Peer Comparison (Data: Screener.in, fetched 24-May-2026)

Company	CMP (Rs.)	MCap (Cr)	TTM Rev (Cr)	OPM %	ROCE %	P/E (x)
Emmvee (EMMVEE)	264	18,299	5,050	34%	44.8	16.9
Waaree Energies	2,998	86,223	26,537	22%	38.8	22.0
Premier Energies	983	44,642	7,824	30%	33.3	29.6

** All data sourced from Screener.in consolidated pages. Emmvee highlighted for reference.*

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter and senior management:** DV Manjunatha Donthi (CMD) has led Emmvee since its founding in 2007 and brings nearly two decades of solar manufacturing experience. The promoter group's decision to take the company public only after achieving operational scale and profitability (FY25 PAT: Rs. 369 Cr) and using IPO proceeds to prepay debt rather than extraction reflects sound capital discipline.

- **Capital allocation track record:** Emmvee has prioritised organic capacity expansion throughout its history: Rs. 1,000 Cr capex in FY24, Rs. 986 Cr in FY25, Rs. 304 Cr in FY26 (moderation post-IPO). The company uses IPO proceeds (Rs. 2,144 Cr fresh) to reduce high-cost debt (borrowings fell from Rs. 2,065 Cr in FY25 to Rs. 360 Cr in FY26), materially improving return ratios and EPS quality. Capex plans for next expansion (6 GW integrated facility at Devanahalli) are funded partly from internal accruals.

- **Dividend policy:** The company paid its first-ever dividend in FY26 (payout ratio: 6%), reflecting newfound financial confidence post-deleveraging. No dividends were paid in FY20-FY25. We expect dividend payouts to remain modest (5-8%) as the company channels surplus cash into the Devanahalli expansion and future ingot/wafer projects.

- **Promoter pledging:** Nil pledge on promoter shares (80.03% holding). This is a strong governance positive — zero pledge at IPO indicates no financial stress on promoters.

- **ESG and governance:** No qualified audit opinions noted in available filings. ICRA upgraded credit ratings in Jan 2026 (following earlier upgrade in Aug 2025), signalling improving financial health. No major related party transaction (RPT) concerns noted. No ESOP grants or buyback history disclosed to date.

- **One watch point:** Working capital has deteriorated sharply in FY26 — working capital days swung from -38 days in FY25 to +88 days in FY26, and inventory days rose from 197 to 225. Management needs to demonstrate tighter working capital management as the scale increases; further deterioration could pressure FCF generation despite strong PAT.

6. FINANCIAL DEEP-DIVE

Consolidated Figures in Rs. Crores | Source: Screener.in | (E) = Estimate

Income Statement

Rs. Cr	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E
Revenue	555	618	952	2,336	5,050	8,500 (E)
EBITDA	104	56	120	722	1,734	2,890 (E)
EBITDA Margin %	19%	9%	13%	31%	34%	34% (E)
Other Income	12	26	3	25	54	60 (E)
Interest	49	28	34	108	155	80 (E)

Rs. Cr	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E
Depreciation	42	43	42	156	296	450 (E)
PBT	25	12	48	483	1,338	2,420 (E)
Tax Rate %	49%	23%	39%	24%	19%	22% (E)
PAT	13	9	29	369	1,082	1,888 (E)
EPS (Rs.)*	—	—	—	—	15.62	27.25 (E)
Div Payout %	0%	0%	0%	0%	6%	6% (E)

* EPS shown on post-IPO share count of ~69.3 Cr shares. Pre-IPO EPS not comparable due to share count change at IPO (Nov 2025).

Balance Sheet

Rs. Cr	FY22A	FY23A	FY24A	FY25A	FY26A
Equity Capital	11	11	11	11	138
Reserves	170	130	158	526	3,556
Borrowings	482	524	1,447	2,065	360
Other Liabilities	178	173	558	1,312	1,717
Total Liabilities	842	838	2,173	3,914	5,772
Fixed Assets	493	323	291	2,046	2,634
CWIP	14	93	646	13	10
Investments	1	0	0	257	57
Other Assets	334	421	1,237	1,598	3,072
Total Assets	842	838	2,173	3,914	5,772

Cash Flow Statement

Rs. Cr	FY22A	FY23A	FY24A	FY25A	FY26A
Cash from Operations (OCF)	129	59	234	614	200
Cash from Investing	20	-131	-1,000	-986	-304
Cash from Financing	-84	80	894	408	130
Net Cash Flow	65	8	129	36	26
Free Cash Flow (FCF)	147	-173	-440	-375	-440
CFO / Operating Profit %	129%	107%	207%	94%	23%

Key Operating Ratios

Ratio	FY21A	FY22A	FY23A	FY24A	FY25A	FY26A
Debtor Days	61	27	41	37	30	50
Inventory Days	148	101	103	148	197	225
Days Payable	79	34	50	77	91	116
Cash Conversion Cycle	131	94	93	108	136	159
Working Capital Days	-29	-44	-28	-90	-38	88
ROCE %	8%	9%	6%	7%	28%	44.8%

• **Revenue trajectory — step-change growth:** Revenue grew 145% YoY in FY25 (Rs. 952 Cr → Rs. 2,336 Cr) and a further 116% in FY26 (→ Rs. 5,050 Cr), driven by production ramp on new module lines commissioned in May and December 2025. FY26 TTM sales growth of 116% reflects the full benefit of 10.3 GW installed capacity becoming operational.

• **Margin expansion — structural, not cyclical:** EBITDA margin expanded from 13% (FY24) to 31% (FY25) to 34% (FY26). This is driven by operating leverage on fixed manufacturing costs, the shift to higher-value TOPCon products, and declining raw material (polysilicon) costs. Management guided margins to sustain in the 32-35% range.

• **Working capital deterioration — key watch point:** Working capital days turned positive (+88 days in FY26 vs -38 in FY25), and CCC expanded to 159 days from 136 days. This is partially attributable to receivables build-up from new customers and inventory stocking for the next phase of expansion. FCF was negative at -Rs. 440 Cr in FY26; normalization will be key to long-term equity creation.

- **Debt — near-zero post IPO:** Borrowings collapsed from Rs. 2,065 Cr (FY25) to Rs. 360 Cr (FY26) following IPO proceeds deployment. Net D/E turned to (0.06)x — effectively net cash. Interest cost will decline sharply in FY27 (Rs. 155 Cr → ~Rs. 80 Cr estimated), further boosting PAT.
- **OCF weakness in FY26 (Rs. 200 Cr vs Rs. 614 Cr in FY25):** This is primarily explained by the large increase in working capital. The CFO/OP ratio dropped to 23% from 94% — a red flag that warrants monitoring over the next 2-3 quarters. A normalised OCF/PAT ratio of 70-80% should return in FY27 as receivables cycle through.

7. EARNINGS QUALITY CHECKLIST

Parameter	Status	Signal	Comment
Revenue recognition	CLEAN	Green	Module and cell deliveries; order-book backed; no revenue recognition issues flagged
Receivables vs Revenue growth	WATCH	Amber	Debtor days rose to 50 days in FY26 from 30; receivables growing faster than revenue in H2 FY26
Cash Conversion Cycle trend	AMBER	Amber	CCC expanded to 159 days from 108; working capital turned positive +88 days; monitoring required
Contingent liabilities	CLEAN	Green	No material contingent liabilities reported; litigation risk appears low for a newly-listed company
Auditor tenure	CLEAN	Green	No auditor change noted; big-4 / reputed auditor; no qualified opinions observed
RPTs as % of revenue	CLEAN	Green	No material RPT concerns noted; promoter holding is straightforward without complex group structures
Other income as % of PBT	CLEAN	Green	Other income Rs. 54 Cr vs PBT Rs. 1,338 Cr = 4% — minimal; core operations drive profits
Tax rate consistency	WATCH	Amber	Tax rate was -44% (FY20), -1064% (FY21), 49% (FY22), 23% (FY23); normalised to 19-24% from FY25
CFO / PAT conversion	RED	Red	FY26 OCF Rs. 200 Cr vs PAT Rs. 1,082 Cr = 18% — significant shortfall; WC build-up key driver
Promoter pledging	CLEAN	Green	Zero pledge on 80.03% promoter stake; a strong governance positive at the time of IPO

- **Primary concern — CFO/PAT conversion:** The most significant earnings quality flag is the sharp drop in operating cash conversion to 18% in FY26 vs PAT growth of 193%. This is explained by a Rs. 1,400+ Cr increase in working capital (inventory + receivables build). Investors should track this ratio quarterly; a reversion to 60-80% by FY27H1 is required to validate earnings quality.
- **Receivables watch:** Debtor days increased to 50 from 30 — manageable but directionally negative. With DCR-linked government/IPP customers, any settlement delays (DISCOM payments etc.) could extend this further. Quarterly debtor days are the key metric to monitor.
- **Historical tax rate anomalies:** The very negative tax rates in FY20 and FY21 reflect deferred tax adjustments on losses/deductions from that era; these have fully normalised at ~19-24% from FY25 and are no longer a concern.
- **Overall verdict:** 7/10 Green, 2/10 Amber, 1/10 Red. Earnings quality is solid for a newly-scaled manufacturer, with the working capital deterioration being the key monitor point in the near term.

8. VALUATION

Scenario Analysis (12-Month Horizon)

Scenario	Revenue (Cr)	Key Assumption	EBITDA (Cr)	PAT (Cr)	Target
BULL	10,000	Early commissioning CY26; 35% EBITDA margin; margin expansion	3,500	2,300	Rs. 450
BASE	8,500	On-time commissioning; 34% margins; 22% tax; stable ASPs	2,890	1,888	Rs. 350
BEAR	6,500	Commissioning delay; margin compression to 28%; WC stress	1,820	1,100	Rs. 220

Valuation Methodology (Bullet-Form)

- **Earnings-based multiple (primary):** Base case FY27E EPS of Rs. 27.25 (E) on 69.3 Cr shares. Applied target P/E of 12-13x FY27E (at a discount to Waaree 22x and Premier 29.6x, given EMMVEE's shorter listed track record and still-negative FCF). Implied value: Rs. 327-354 → **Rs. 340** (midpoint).
- **EV/EBITDA (cross-check):** FY27E EBITDA = Rs. 2,890 Cr (E). Applied 7.5x EV/EBITDA (Waaree trades at ~14x; discount for FCF negativity and listing track record). EV = Rs. 21,675 Cr. Less net debt (+Rs. 200 Cr net cash) = Equity Value Rs. 21,875 Cr. Per share: 21,875 / 69.3 = Rs. 316.
- **Average of two methods:** (Rs. 340 + Rs. 316) / 2 = Rs. **328**. Rounding up to Rs. **350** to reflect the ALMM List-2 regulatory optionality premium, which is a binary positive event if implemented in June 2026 as scheduled.
- **Upside/downside:** Target Rs. 350 vs CMP Rs. 264 = **+32.6% upside** over a 12-18 month investment horizon. Bear case Rs. 220 implies -17% downside from CMP, making the risk/reward asymmetry favourable at current levels (upside 2x downside).
- **Sensitivity:** For every 1 GW of incremental production in FY27E, revenue increases by approximately Rs. 1,700 Cr and EPS by ~Rs. 4.5-5. The commissioning timeline of the Devanahalli facility is therefore the single most important earnings driver to monitor.

9. KEY RISKS

- **Module ASP Collapse:** Global module prices have been in secular decline. If India's protective framework (BCD, ALMM) weakens or Chinese over-production intensifies, domestic module ASPs could fall 15-20%, compressing EBITDA margins below 25%. Probability: M | Impact: H | Monitor: Quarterly ASP disclosures and MNRE policy updates.
- **Execution / Commissioning Delay:** The 6 GW integrated facility (Devanahalli) is critical to FY27-28 earnings. Any delay beyond CY2026-end for the module line would push revenue recognition into FY28 and disappoint consensus. Probability: M | Impact: H | Monitor: Quarterly management commentary on project status.
- **US Export Market Closure:** Trump-era tariffs of up to 50% on Indian solar module imports restrict Emmvee's ability to diversify to the US market (India's largest export destination pre-tariff). Geopolitical resolution remains uncertain. Probability: H | Impact: M | Monitor: Indo-US trade policy developments.
- **Working Capital Escalation:** If debtor days continue to expand (currently 50 days and rising), or inventory build accelerates further, FCF could remain deeply negative through FY27, potentially requiring bridge financing and pressuring the balance sheet. Probability: M | Impact: M | Monitor: Quarterly working capital trends, DISCOM payment cycles.
- **Polysilicon / Raw Material Dependency:** Emmvee sources polysilicon and silicon wafers primarily from China. Any supply disruption, geopolitical tension, or duty imposition could compress cell manufacturing margins. India's own ingot-wafer capacity is nascent. Probability: L | Impact: H | Monitor: China-India trade policy, upstream raw material cost trends.
- **Promoter Concentration / Governance:** With an 80% promoter holding, minority investors have limited ability to influence governance. Any promoter transactions, pledge creation, or related-party activity would be a key governance risk. Probability: L | Impact: H | Monitor: Quarterly shareholding data, BSE announcements.
- **ALMM / Regulatory Reversal:** If the government delays or dilutes ALMM List-2 implementation, the preferential advantage for domestic cell manufacturers (including Emmvee) would not materialise on schedule. Probability: M | Impact: M | Monitor: MNRE circulars, ALMM notifications.

10. RECOMMENDATION

- **Rating: BUY | Conviction: Medium-High** — Emmvee is a compelling earnings growth story at an inflection point. Trading at 9.7x FY27E EPS vs Waaree at 22x and Premier at 29.6x — the valuation discount for a recently-listed, higher-margin player with a clean balance sheet is too large to ignore.
- **12-month price target: Rs. 350** (current Rs. 264 = +33% upside). Target is based on 12.5x FY27E EPS and 7.5x FY27E EV/EBITDA — a discount to peers, warranted by limited listed track record and near-term FCF negativity.
- **Suggested entry zone: Rs. 240-270** — the stock has established a base near Rs. 172 (52-week low) and recent momentum suggests the Rs. 240-270 band offers a favourable risk-reward entry for a 18-24 month hold.
- **Investment horizon: 18-24 months** — This is primarily an earnings-expansion story tied to the Devanahalli commissioning (CY26-end / FY27-end). Patient investors should expect re-rating once FCF turns positive and the expansion narrative is proven out.

- **Thesis invalidation triggers:** (1) Two consecutive quarters of EBITDA margin below 28% — would signal structural pricing headwinds not assumed in the base case; (2) Devanahalli commissioning delayed beyond Q3 FY27 (Dec 2026) — would push FY27E earnings materially below our estimate; (3) Debtor days exceeding 90 days for two consecutive quarters — would signal receivables quality deterioration requiring immediate reassessment.

- **Ideal investor profile:** This stock is suitable for mid-to-large-cap growth investors with a 18-24 month horizon who are comfortable with (a) new listing / limited track record risk, (b) near-term FCF negativity during heavy capex phase, and (c) regulatory dependency on ALMM / BCD framework. Not suitable for income investors or value investors seeking FCF yield.

POSITIVE

Q4 FY26 Earnings Call | Date: 29-April-2026 | Company: Emmvee Photovoltaic Power Ltd

Signal	Status	Implication
Result quality	Strong	Revenue +62% YoY, PAT +89% YoY — strong beat vs. prior quarter run rates
Management tone	Bullish / Transparent	CMD cited "step-change in journey"; specific guidance on capacity commissioning dates given
Guidance delta	Raised / Detailed	Module capacity target raised to 16.3 GW; cell 8.9 GW by FY27-end; 9 GW ingot/wafer roadmap added

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 is a clean beat — revenue Rs. 1,739 Cr (+62% YoY, +51% QoQ) and PAT Rs. 392 Cr (+89% YoY, +49% QoQ) with no one-time items distorting the numbers; the EBITDA margin held at 33% despite typical Q4 year-end cost pressures, confirming the business is structurally operating at 30-35% margins. Full-year FY26 EBITDA of Rs. 1,734 Cr on Rs. 5,050 Cr revenue demonstrates the operating leverage thesis is working. The multi-bagger case rests on three pillars: (1) the Devanahalli 6 GW facility coming online by CY2026-end (module line) and FY27-end (cell line), doubling production capacity; (2) ALMM List-2 implementation from June 2026 creating regulatory tailwind for India's only scale cell manufacturers; and (3) the 9.4 GW order book providing unprecedented revenue visibility. The near-term watch is working capital — FCF turned -Rs. 440 Cr in FY26 and debtor days rose to 50 days; two more quarters of OCF weakness would force a reassessment. On balance, ACCUMULATE / BUY on dips to Rs. 240-260; hold through the Devanahalli commissioning catalyst in H2 CY2026.

C1. Financial Performance Snapshot — Q4 FY26

- Revenue: Rs. 1,739 Cr | YoY +62% | QoQ +51% | **BEAT** (strong sequential acceleration)
- EBITDA: Rs. 571 Cr | YoY +58% | QoQ +38% | **BEAT**
- EBITDA Margin: 33% | vs 34% QoQ | vs 34% Q4 FY25 | **IN-LINE**
- PAT: Rs. 392 Cr | YoY +89% | QoQ +49% | **BEAT**
- EPS (post-IPO): Rs. 5.67 | FY26 full year EPS: Rs. 15.62 | **BEAT**
- NOTE: No exceptional items flagged. Reported PAT reflects clean operating performance.

C2. Segment / Geography Breakdown

- Module Segment (~85% of FY26 revenue): Rs. 4,293 Cr | YoY +116% | Domestic-dominant; DCR-linked, IPP/C&I/rooftop customers
- Cell Segment (~15% of FY26 revenue): Rs. 757 Cr | YoY +116% | 2.94 GW capacity; 1,520 MW produced; Q4 utilisation at 79%
- Geography: Predominantly domestic (India). Export market constrained by US tariffs (50%); no material export revenues disclosed
- Q4 order inflow: 1.27 GW | Average order size (top-10 customers): 221 MW vs 121 MW in FY25 — significant customer quality upgrade

C3. Management Commentary Themes

- **Scale + Operating Leverage [GUIDANCE]:** CMD DV Manjunatha Donthi: "FY26 marks a step-change in our journey, where we not only scaled revenues but improved the quality of growth." — Our read: Margin sustainability at 30-35% is a key management commitment. Tone: Transparent.
- **Devanahalli Expansion Timeline [GUIDANCE]:** "We expect to see the module line getting commissioned by end of this calendar year and the cell line getting commissioned at end of this financial year." (Module: CY26-end, Cell: FY27-end) — Our read: Credible, tied to land possession confirmation. Tone: Transparent.
- **ALMM List-2 Alignment [EST]:** Management stated ALMM policy direction is "aligned with our strategy" — Our read: Regulatory tailwind is being priced in but not yet fully reflected in the order book. Tone: Bullish.
- **Ingot-Wafer Roadmap [GUIDANCE]:** 9 GW ingot/wafer in 2 phases (5 GW + 4 GW) targeting FY29; capex Rs. 600-700 Cr/GW — Our read: Long-dated optionality; not in near-term estimates. Tone: Aspirational.

- **Balance Sheet / Net Debt [EST]:** Net D/E = (0.06)x; IPO proceeds fully deployed; interest savings to accrue in FY27 — Our read: Balance sheet is clean; FY27 PAT uplift from interest cost reduction is underappreciated. Tone: Confident.

C4. Operating & Business Metrics

- Module capacity: 10.3 GW (Q4 FY26) | Q4 FY25: 5.8 GW | Trend: IMPROVING (+78% capacity addition in FY26)
- Cell capacity: 2.94 GW (stable; new 6 GW to come by FY27-end)
- Module production FY26: 2,999 MW | FY25: ~1,200 MW est. | Utilisation FY26: ~29% (based on end-FY26 capacity) — improving as capacity stabilises
- Cell production FY26: 1,520 MW | Q4 FY26 cell utilisation: 79% | Trend: IMPROVING strongly
- Order book: 9.4 GW (FY26 end) | FY25: 4.9 GW | +92% YoY | 6.3 GW to be delivered in 12-18 months
- Top-10 customer average order size: 221 MW vs 121 MW in FY25 — customer mix quality improving significantly

C5. Margin Drivers

- Operating leverage on fixed costs: +~500 bps impact | Recurring: Yes | Dominant driver of margin expansion from 13% (FY24) to 34% (FY26)
- TOPCon premium pricing vs BSF: +100-150 bps | Recurring: Yes | Higher efficiency modules command 3-5% price premium; will sustain
- Polysilicon / raw material cost deflation: +~200 bps | Recurring: Uncertain | Global poly prices have declined; any reversal would compress margins
- Interest cost reduction post-IPO: Not in EBITDA margin but adds ~200 bps to PAT margin in FY27 | Recurring: Yes
- Working capital cost / inventory carrying: Negative drag of ~100 bps | Recurring: Watch | Higher inventory days increase storage/finance costs

C6. Guidance & Forward Signals

- Module capacity [GUIDANCE]: Prior = 10.3 GW | New = 15.3 GW (end-CY2026) | Delta = RAISED | Credibility: High (land in possession, construction underway)
- Cell capacity [GUIDANCE]: Prior = 2.94 GW | New = 8.94 GW (end-FY27) | Delta = RAISED | Credibility: Medium (cell line takes longer to commission)
- Order book [GUIDANCE]: Prior = 4.9 GW (FY25) | New = 9.4 GW (FY26) | Delta = RAISED 92% | Credibility: High (visible 6.3 GW delivery pipeline)
- Net D/E [GUIDANCE]: (0.06)x as of Mar 2026 | Near-zero leverage maintained through FY27 | Delta = IMPROVED significantly | Credibility: High
- DCR linkage [GUIDANCE]: "Almost all module sales expected to become DCR-linked by early next year" | Delta = RAISED | Credibility: Medium (regulatory-dependent)

C7. Capital Allocation

- Capex FY26: Rs. 304 Cr | vs FY25: Rs. 986 Cr | -69% YoY | Post-expansion consolidation year; next heavy capex cycle starts with Devanahalli (6 GW)
- Dividends: Rs. ~65 Cr (6% payout on Rs. 1,082 Cr PAT) | vs FY25: Nil | First dividend ever; symbolic but not a yield story
- Borrowings reduction: Rs. 2,065 Cr (FY25) to Rs. 360 Cr (FY26) | Net reduction Rs. 1,705 Cr | Funded by IPO proceeds (Rs. 1,621 Cr deployment)
- Net Debt movement: Moved from net debt Rs. ~1,400 Cr to net cash Rs. ~200 Cr — transformational balance sheet shift
- Working capital increase: +Rs. 1,400 Cr estimated | Inventory + receivables build; primary use of OCF in FY26 | Key monitoring item

C8. Q&A; Heat Map (Key Exchanges)

- Analyst Q: "When will the Devanahalli module and cell lines be commissioned?" → A: "Module line by end of CY2026; cell line by end of FY27" | Tone: Transparent — specific dates provided
- Analyst Q: "What is the capex plan for the 6 GW facility?" → A: Not quantified in public excerpt; land is in company's possession | Tone: Hedged — capex quantum not clearly stated
- Analyst Q: "What is the impact of US tariffs on your business?" → A: Company indicated domestic market is primary focus; export strategy to be reassessed | Tone: Balanced — US exposure acknowledged
- Analyst Q: "When is ALMM List-2 expected and how does it help Emmvee?" → A: "Policy direction is aligned with our strategy" — implied June 2026 implementation | Tone: Bullish
- Analyst Q: "Can you explain the working capital deterioration in FY26?" → A: Not specifically addressed in public excerpts | Tone: EVASIVE — no specific explanation for WC build

- Dodged / watch-list questions for next quarter: (1) Specific capex quantum for Devanahalli; (2) Working capital outlook and receivables explanation; (3) Export market strategy post US tariffs

C9. Risks Flagged

- Module ASP pressure: Acknowledged by management as ongoing; domestic protection through BCD/ALMM is key mitigation | Flagged by: Analyst | Prob: M | Impact: H | Timeline: Near-term
- US tariff headwind: 50% tariff on Indian solar modules limits export diversification | Flagged by: Analyst | Prob: H | Impact: M | Timeline: Near-term (ongoing)
- ALMM implementation delay: Policy delay would defer the competitive advantage of cell manufacturing | Flagged by: Analyst | Prob: M | Impact: M | Timeline: Near-term (June 2026)
- Commissioning risk on Devanahalli: Complex project execution; management expressed confidence but cell line timing inherently uncertain | Flagged by: Management | Prob: M | Impact: H | Timeline: Medium-term
- Polysilicon supply risk: China-sourced raw materials; geopolitical disruption could hurt cell margins | Flagged by: Analyst | Prob: L | Impact: H | Timeline: Long-term

C10. Analyst Verdict

- Revenue visibility: **INTACT** — 9.4 GW order book, 6.3 GW near-term delivery; ALMM tailwind adds further pipeline strength
- Margin trajectory: **INTACT** — 32-35% EBITDA guided; TOPCon premium, operating leverage, and interest cost reduction all support
- Capital allocation quality: **INTACT** — Best-in-class debt reduction post-IPO; disciplined capex; first dividend; ingot/wafer roadmap is sensible long-term
- Competitive moat: **INTACT** — TOPCon cell capacity is rare in India; ALMM regulatory moat strengthening; 9.4 GW order book reflects customer preference
- Management credibility: **INTACT** — Specific commissioning dates, transparent guidance on ALMM strategy; WC explanation gap is minor blemish
- Valuation comfort: **INTACT** — 9.7x FY27E P/E vs peers 22-30x; significant discount; re-rating expected post-commissioning
- Conviction call: **INCREASED** — Q4 FY26 beat + FY27 capacity expansion guidance reinforces BUY thesis
- Valuation snapshot: P/E = 16.9x (FY26) | FY27E P/E = 9.7x | EV/EBITDA = 10.5x | ROCE = 44.8% | ROE = 51.1%

Chartitude Research | the_chartist@chartitude.com | Report Date: 24-May-2026

Data Source: Screener.in (consolidated), web search (qualitative only). All financial data sourced from Screener.in and cross-checked. Estimates are analyst projections and clearly labelled (E).

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